

Australian monthly CPI

Economics - Data Reactions

Still too high

Australia

- ◆ The monthly trimmed mean was higher than expected in July, with the y-o-y rate remaining at 3.6% (market had 3.5%), due to a strong m-o-m rise ...
- ◆ ... while the headline CPI was 3.5% y-o-y (market had 3.3%) – both measures are still well above the RBA's 2-3% target band
- ◆ Our base case sees the RBA on hold in coming quarters, but today's figures add to the risk that they may choose to lift the cash rate further

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Facts

- The monthly trimmed mean CPI rose by 0.5% m-o-m and 3.6% y-o-y in July 2026 (market and HSBC had 3.5%). The weighted median CPI rose by 0.4% m-o-m and 3.6% y-o-y. The CPI excluding volatile items and holiday travel rose by 0.8% m-o-m and 3.8% y-o-y.
- The monthly headline CPI rose by 1.0% m-o-m and 3.5% y-o-y (market had 3.3%; HSBC had 3.2%). Non-tradables prices rose by 0.8% m-o-m and 4.4% y-o-y, while tradables prices rose by 1.5% m-o-m and 1.7% y-o-y. Goods prices rose by 1.3% m-o-m and 3.2% y-o-y, while services prices rose by 0.7% m-o-m and 3.7% y-o-y. Transport (+0.3ppts), recreation and culture (+0.2ppts) and furnishings, household equipment and services (+0.2ppts) were the key contributors to monthly headline inflation.
- Construction work done fell by 2.1% q-o-q in Q2 (market had +0.4%), leaving construction work done up 2.7% y-o-y. In the quarter, engineering work (-6% q-o-q) fell by 6% q-o-q, while residential (+1.7% q-o-q) and non-residential (+0.5% q-o-q) building work rose.

Implications

Today's inflation figures were higher than expected and will be worrisome for the RBA to the extent that they signal that inflation is still stubbornly elevated.

A particular worry will be around the trimmed mean, with the m-o-m measure rising by 0.5%, which was much stronger than the 0.3% expected by the market. This left the y-o-y rate at 3.6%, rather than seeing it fall to 3.5% as the market had been forecasting. This is running ahead of what is implied by the RBA's last set of forecasts, published in early August.

That being said, a key caveat is that the monthly CPI figures are still being treated by the RBA as only a partial signal indicator, given that the measure is still not fully seasonally adjusted. Of note, the last time the monthly trimmed mean jumped by 0.5% was in July 2025. Although the RBA will take some signal from the monthly CPI, it will not be treated as conclusive – with the RBA still preferring to focus on the quarterly CPI measure with the next one (for Q3) due to be published on 28 October.

The next focus for the market will be on next week's GDP print for Q2 and, as we see it, on the ongoing housing market slump that is underway (see [‘Housing price slump continues’](#), 24 August 2026).

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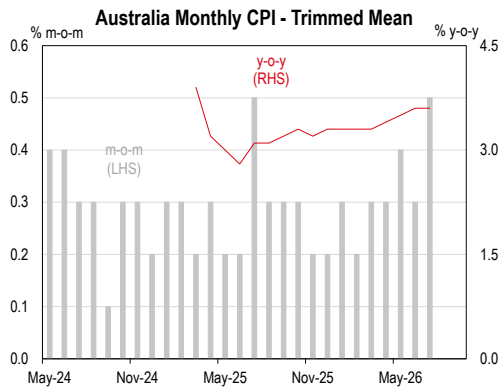
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When weighing up the cash rate decision we expect the RBA to be concerned about inflation that is still too high, but forward-looking in its approach, such that weak growth and declining housing prices are expected to be seen as putting downward pressure on inflation over the forecast horizon.

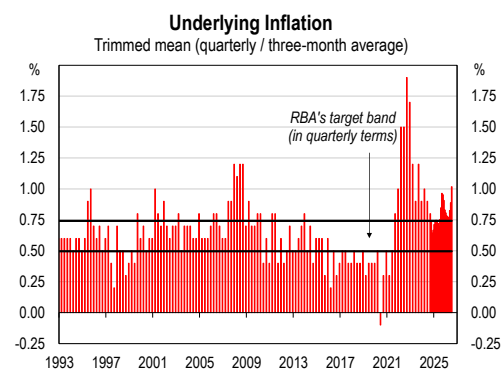
The signal from today's monthly CPI reading, taken on its face, is that trimmed mean inflation could still be too high in Q3 for the RBA to tolerate – although it is still too early to be certain of this, as it is just a reading for July and given statistical issues with the monthly survey. In addition, a weak GDP print next week or a sharper than expected decline in housing prices are also expected to play a role in whether the RBA lifts rates further.

1. The m-o-m trimmed mean reading rose sharply in July ...



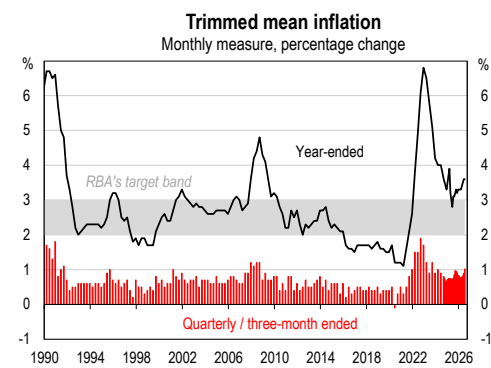
Source: ABS

2. ... which suggests the Q3 print may be too high for the RBA



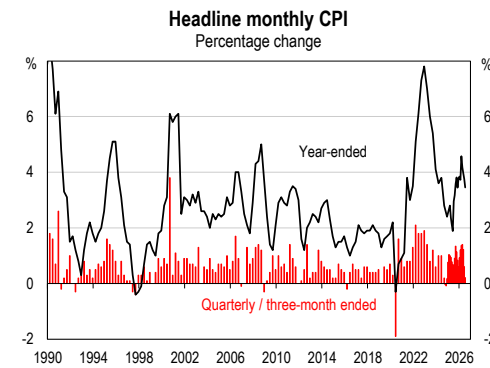
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3. Underlying inflation is above the RBA's 2-3% target band



Source: ABS

4. Headline inflation is above target too



Source: ABS

Disclosure appendix

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